

DEAL INTELLIGENCE

Bridges Development's \$31M Buy Shows the Basis Reset Is Still the Only Liquidity Event

A 66% discount from the 2020 price reveals how much value must transfer before capital moves.

July 17, 2026 · The Real Deal · 4 min read

A source-grounded Light Tower Insight. The complete note follows.

The most revealing number in Bridges Development Group's \$31 million purchase of Kingswood Center is not the price. It is the spread between that price and the \$89 million Urban Edge Properties paid six years ago. A 66 percent discount is not a markdown. It is a statement about how much value must be destroyed before institutional capital can find a bid.

The deal, reported by Crain's New York and the Commercial Observer, puts the 226,130-square-foot complex at \$137 per square foot. That is down from \$394 per square foot in early 2020. The seller is Midland Loan Services, a PNC Bank unit that took the property two years ago for \$34 million after Urban Edge defaulted on a \$66 million mortgage. Midland is not a motivated seller in the traditional sense. It is a servicer clearing a non-performing loan from its books at a price that lets it move on.

Bridges Development, founded in 2017 by Michael Berfield, is buying into a story that institutional capital cannot underwrite: a three-story retail and office complex in Midwood, Brooklyn, anchored by T.J. Maxx, with 100,000 square feet of vacant space. The building sits above a 257-car parking garage near the Kings Highway subway station. It was renovated in 2019. The vacancy is the opportunity, but it is also the risk.

The financing tells a parallel story. Bridges secured a \$35 million loan from an unidentified lender, arranged by JLL's Scott Aiese and Alex Staikos. The loan is larger than the purchase price, which means the buyer is either funding a capital plan or the lender is underwriting the asset at a higher stabilized value. Either way, the debt is not cheap. The unidentified lender is taking a view that the vacant space can be leased at rents that support a higher basis than the purchase price implies. That is a bet on leasing velocity in a submarket where office and medical demand is real but not frothy.

The transaction is not a vote of confidence in Brooklyn retail-office broadly. It is a vote of confidence in this basis, this sponsor, and this specific leasing plan. The buyer is not trying to flip the asset at a cap rate compression. It is trying to fill 100,000 square feet of space in a building that cost \$137 per square foot to acquire. If the leasing works, the math is attractive. If it does not, the debt service will consume the cash flow from the T.J. Maxx anchor and the parking garage.

The seller's calculus is equally instructive. Midland Loan Services acquired the property for \$34 million in 2024, which was already a 62 percent discount from Urban Edge's 2020 purchase. Now it is selling for \$31 million, a \$3 million loss on its own basis. That is not a distressed sale in the dramatic sense. It is a servicer deciding that carrying a non-core retail-office asset with vacancy is not worth the administrative cost. The loss is small relative to the original loan balance, and the servicer gets liquidity and a clean exit.

Urban Edge's original \$89 million purchase in early 2020 was a different market entirely. Rates were low, retail was recovering from the pandemic shock, and the REIT was buying at a basis that assumed rent growth and low vacancy. Six years later, the building has 100,000 square feet of empty space, the mortgage was \$66 million, and the equity is gone. The REIT walked away in 2024, handing the keys to the lender. That is the cycle in miniature: institutional capital overpaid for a story that did not materialize, the lender took the asset, and a smaller, more nimble buyer is now picking up the pieces at a price that makes sense for a business plan, not a portfolio mark.

The pattern is repeating across the outer boroughs and secondary markets. Assets that traded at peak pricing in 2019-2021 are now trading at 50 to 70 percent discounts, but only when the seller is a lender or a servicer with no emotional attachment to the asset. Private owners who bought with equity are holding, waiting for the bid to return. Lenders who took back assets through foreclosure or deed-in-lieu are selling because they have no mandate to operate real estate. The bid is coming from sponsors like Bridges Development, who can underwrite vacancy, who have access to debt, and who are willing to take leasing risk at a basis that leaves room for error.

The deal does not signal that the market has bottomed. It signals that the market has found a clearing price for this asset class in this submarket. The next test is whether Bridges can lease the vacant space at rents that support the \$35 million loan. If it can, the deal will look like a steal. If it cannot, the lender will own the building, and the cycle will repeat.

For owners with similar assets, the implication is uncomfortable. The bid exists, but only at prices that erase the equity from the prior cycle. The choice is not whether to sell at a loss. It is whether to sell at a

loss now or wait for a recovery that may take years. For lenders, the deal is a reminder that the fastest way to liquidity is to accept the basis reset and move on. For buyers, the message is simpler: the market is rewarding structure, not stories.

SOURCES

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<https://therealdeal.com/new-york/2026/07/16/bridges-development-lands-retail-office-building-in-brooklyn/>

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